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Selected comparative statement data for Best Products Company are presented in table-5. All balance sheet data are as of December 31.

	2018	2017
Net sales	\$660,000	\$620,000
Cost of goods sold	380,000	340,000
Interest expense	7,000	5,000
Net income	50,000	35,000
Accounts receivable	120,000	100,000
Inventory	95,000	85,000

Total assets	530,000	415,000
Accounts Payable	60,000	40,000
Bonds Payable	40,000	50,000
Common Stock	400,000	300,000
Retained Earnings	30,000	25,000
Cash Dividends	20,000	10,000

Table-5

Required:

Compute the following ratios for 2018.

- Inventory turnover.
- Return on common stockholders' equity.
- Payout Ratio.
- Debt to Total Assets Ratio.

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Expert Answer

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$$\begin{aligned} \text{1 Inventory turnover ratio} &= \text{Cost of goods sold} / \text{Average inventory} \\ &= 380,000 / [(95,000 + 85,000) / 2] \\ &= 4.2222 \end{aligned}$$

$$\begin{aligned} \text{2. Return on common stock holders equity} &= \text{Net income} / \text{Avg. common stock holders equity} \\ &= 50,000 / (300,000 + 25,000) \\ &= 15.385\% \end{aligned}$$

$$\begin{aligned} \text{3. Payout ratio} &= \text{Dividend paid} / \text{Net income} \\ &= 20,000 / 50,000 \end{aligned}$$

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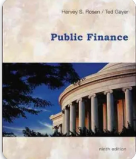
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$$\frac{20000}{530000} = 40\%$$

4. Debt to total assets ratio = Debt / Total assets

$$= \frac{40000}{530000}$$

$$= 7.547\%$$

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